billion, from US$48.48 billion in the previous fiscal year.[43] China's increasingly assertive economic—and, therefore, political—role in the Asia-Pacific has inevitably caused concern among other countries in the region. The conflict in the South China Sea between China on the one side and Southeast Asian countries and the United States on the other has received much international attention, as has the ongoing a tug-of-war between the United States and China for influence over small island territories in the Pacific with huge, surrounding economic zones. But there is also what could be described as a new Cold War emerging in the Indian Ocean. And, it is there that China's strategic interests collide with India's and an informal alliance is emerging between India, Japan, the US, and Australia.

China's interest in opening a corridor down to the Indian Ocean was first articulated in September 1985 as the country was moving from rigid socialism to a market-oriented economy. In an article in the official mouthpiece *Beijing Review*, Pan Qi, a former vice-minister of communications, outlined the possibility of finding an outlet for trade for China's landlocked southwestern provinces of Yunnan, Sichuan, and Guizhou, with a combined population of 160 million people, through Myanmar down to the Indian Ocean.[44] The article mentioned the Myanmar railheads of Myitkyina and Lashio in the north and northeast, and the Irrawaddy River as possible conduits for Chinese exports.

The first border trade agreement between Yangon and Beijing was signed in early August 1988, only days before a nationwide uprising for democracy broke out in Myanmar. After the movement had been crushed, and Western sanctions put in place, China moved in with trade, loans, and credits to a regime that otherwise would have crumbled under internal and external pressure. Apart from becoming Myanmar's largest foreign trade partner, Beijing exported more than US$1.4 billion worth of military equipment to Myanmar and helped upgrade its naval facilities in the Indian Ocean. In return, the Myanmar junta gave Beijing access to signals intelligence from key oil shipment sea lanes collected by the Myanmar Navy, using equipment supplied by China. The strategic balance of power in the region was shifting in China's favour. Not only India but also the United States was watching these developments with increasing concern. The construction of oil and gas pipelines from the Myanmar coast to China added to the anxieties in the West and India.